



GLOBAL PROVIDER INSURANCE POLICY

Policy Number: FP-RM-001
Department Sponsor: Risk Management
Last Updated: 09/17/2015

PURPOSE

To establish global insurance coverage requirements and thresholds for Providers and tenants based on country, type of service provided, and risk profile.

POLICY SUMMARY

The policy provides a two-step approach to evaluate whether a Provider of goods or services (including lessees and concessionaires)(collectively referred to as "Providers") carries sufficient insurance coverage to protect hotels and Hilton Worldwide ("Company") from potential losses or litigation.

The policy is focused primarily on general (public) liability and professional liability insurance.

Stage One: The Provider Insurance Checklist – *Consult the checklist, identify your country and the Provider type, and use the amount stated for contracting purposes.*

Stage Two: The Provider Insurance Test – *If the Provider is incapable of providing, or refuses to provide, the amount of insurance listed in the checklist, follow the due diligence process flow to find a viable solution.*

When contracting with Providers and completing details on insurance the user must refer to this policy prior to contract execution / authorization. If a Provider rejects the limits set in the checklist, the user can use an insurance test to determine the best course of action and whether Risk Management's assistance is required.

Insurance coverage / thresholds must be reflected in a written agreement reviewed / approved by Legal and the appropriate Business and Financial Owners in accordance with Hotel Operations Contract Execution and Spending Policy and other policies.

BACKGROUND / SCOPE

Insurance requirements vary globally based on state law or local regulations. To ensure the Company's risk exposure is minimized whilst maintaining a competitive edge in the marketplace, this policy establishes clearly defined insurance requirements for stakeholders to leverage when engaging Providers.

Understanding and using this policy will allow users to have more control of their contract negotiations and will help them to answer some basic questions in relation to what insurance, how much, and why. The user will have the initial insurance information they need without needing to involve Risk Management.

APPLICABILITY

This policy is global and applies to all owned, leased, controlled joint venture and operated / managed hotels that are engaged, or will contractually engage, with Providers.

EXCLUSIONS / EXCEPTIONS

Insurance requirements may be reduced or waived temporarily or permanently only upon written approval in accordance with the approval matrix under Part B: Waivers, and retained on file. This policy does not govern insurance requirements for Groups using a hotel for an event, function or meeting, other guests who have signed a residence lease with the hotel nor does it supercede any Provider's insurance requirements as may be required by a hotel owner's policy if outside Hilton's insurance program. At this time this policy does not govern Providers that are not required to have a contract with a hotel in conjunction with Part C.3 of the Hotel Operations Contract Execution and Spending Policy.



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POLICY DETAILS

A. Global
Provider
Insurance
Checklist
("Checklist")

Hotel Contracts including Service/Concession Agreements & Commercial Leases

Users must apply the relevant insurance limits when contracting or renewing with Providers). The insurance details must be agreed between the parties and evidenced to the hotel in the form of an official insurance document (certificate, letter, etc.) prior to contract execution and the commencement of any service. Users must apply the insurance requirements to protect the hotel, owner, and the Company from potential loss and/or litigation.

Using the Checklist, Users must evaluate potential risks involved with Provider the transaction and/or relationship with Provider. The Checklist summarizes the risk-based thresholds for each Provider type in line with acceptable standards for each country. The following steps should be taken when assessing the need for a Provider's insurance:

Steps:

1. Identify the hotel's location [Country]
2. Locate the [Provider Category] to find the general type of service and then [Provider Type] to select from a list of specific services. Insurance requirements vary based on Risk Management's risk assessment of Provider / tenant services, as demonstrated by High Risk (red/H), Moderate Risk (amber/M), or Low Risk (green/L) rankings. **NOTE:** If a Provider is not represented in the checklist contact Risk Management for further guidance.
3. Review insurance requirements and include in applicable Provider / tenant agreement

The minimum thresholds used are limits Risk Management expect Users to enforce. Thresholds will vary from country to country based on acceptable, available, or required limits and are available to view in US and Australian dollars, Euro or Pound Sterling, rounded off to a flat amount. Hovering over certain fields in the Checklist provides further information about the limits, the risk analysis or the Provider type.

Risk Ranking

The 'red/amber/green' or 'low/moderate/high' risk ranking system explains the level of each risk associated with a Provider's products or services. Risk Management has evaluated each service in terms of the potential risk exposure and then graded those products or services. For more on each risk ranking please see definitions.

B. Provider Insurance Test ("Test")

If a Provider or tenant is incapable of, or refuses to accept the minimum thresholds contained in the Checklist, Users must follow the Test (see Process Flows). This flowchart explains next steps for a User to take in each specified scenario.

Each User must use the Checklist and other guidance to understand potential consequences if a claim is made against a hotel in conjunction with products or services provided by a Provider, if that Provider is not sufficiently insured against such claims. Risks and claims associated with Providers can lead to, among other things, damage to hotel, hotel property or guest property, damage to the brand name, injury to employees, guests or visitors, the compromising of confidential or personal data or negative impact on hotel operations. All of these could become very costly for a hotel if a Provider is hired with inadequate or no insurance. Below are resolutions that a User must follow in the given situation.

Legacy Providers

Legacy Providers are Providers or tenants that have been retained by a hotel for 5 (five) years or longer. The legacy agreements may have been executed directly by the hotel or carried over from a pre-existing arrangement with previous owners.

Hotels must also sign Legacy Providers to the new insurance requirements per the Checklist upon expiration of the current agreement. Legacy Providers / tenants that are considered Low Risk or Moderate Risk via this policy can be granted a temporary exemption waiver which will run for 1 (one) year from the end of their current agreement. This exemption will allow all existing agreements / arrangements to continue under the current terms. A Risk Self-Assessment (Appendix 2) must be completed by the hotel and approved by Regional Director Operations Finance. For High Risk Providers, all Users must request, from Risk Management, a temporary exemption waiver by completing the **Risk Self-Assessment** form. Any exemption granted will also be valid for 1 (one) year after the current contract end date, unless otherwise agreed between the hotel and Risk Management. Thereafter, all hotels are expected to have renegotiated agreements that contain the required insurance threshold, unless Risk Management has authorized a further temporary or permanent waiver or as otherwise dealt with in Section B of this policy.

For each policy waiver request, Risk Management considers the length of time the arrangement has already been in place, whether the hotel is contractually bound to keep this Provider, potential risks, and previous / insurance claims and/or losses (if any).

Existing Agreements

All existing agreements executed prior to the commencement of this policy may also continue in force until the contract is due to be renewed, at which point the new minimum insurance limits set forth in the Checklist must be used. The hotel, using the information provided in both this policy and the Checklist as well as their judgment, must decide whether or not to request an amendment to the agreement prior to contract expiry.

Providers that are Multinational Corporations (MNCs) or appointed by MNCs

If Providers are a MNC, or are employed by a MNC as a country, regional or local preferred / exclusive Provider (agent), Users should expect such Providers to carry levels of insurance as required by this policy. If the Provider is an agent and does not carry such insurance, the User must make enquiries of the agent's MNC business partner, who may be a parent company, to see if such agent is, or can be insured under their global policy. Alternatively, the User can ask the Provider to obtain a declaration from its parent/business partner evidencing that the Provider is insured under the parent/business partner's relevant insurance policies.

Hilton Supply Management (HSM) Providers

Where a Provider has previously negotiated an agreement with HSM to service or supply hotels over a certain geographic area and such agreement is still active, the insurance terms in such agreement will remain in effect unless amended in line with this policy. The principals of this policy must be followed for any and all subsequent HSM agreements with all Providers.

Competition in the Market Place

User must establish whether this Provider is the only one providing the required goods or services locally or regionally or if there are competitors available within a reasonable geographic and economic range and with whom the hotel is satisfied that they can fulfill the services in a manner expected of them. If the service being provided can pose a risk to the hotel Users should determine whether any competitor is a better option from an insurance stand point.

If there are no competitors in the market place and the Provider refusing the insurance is the only one available or skilled enough or reasonably priced to provide the goods or services, and is not affiliated with a larger business partner or MNC the User must first follow the other routes of the Test. If these have been exhausted, the User must complete the Risk Self-Assessment (Appendix 2) and seek the necessary approvals.

Owner Appointed or Approved Providers

Where there is a Provider who does not meet Hilton's requirements and who is approved, appointed or endorsed by, or is a preferred agent of the hotel owner, it is the hotel owner who must make their insurance primary (first) and available to respond to a claim arising out of the goods or services provided by such Provider. The hotel owner must accept this position in writing using the **Preferred Provider Declaration** (Appendix 1). The User must ensure that the relevant agreement contains terms to reflect this and must notify Risk Management who will assist in adding such terms where and if necessary.

If a hotel owner requests a reduction to the minimum insurance limits for a Provider, such change must be approved by Risk Management.

Purchasing Provider Insurance from Abroad

If a Provider is willing to purchase insurance but cannot purchase it in the local market, the User should consider whether it is permitted for such Provider to obtain the necessary coverage from another region or province of a country or even abroad. The User can consult an insurance broker to determine whether this course of action is permitted or not in the country in question.

Self Insured Providers

Some Providers, such as some government departments or MNCs, may claim to be self insured. They may therefore not have insurance certificates or other documentation available for inspection. Such Providers should be referred to Risk Management at contracts.risk@hilton.com for approval.

Waivers

If a hotel wants to waive or lower insurance the User must follow the guidance set forth under Risk Self Assessment below and Appendix 2. In such cases Risk Management or Operations Finance (see Approval Matrix below) must receive a completed Risk Self Assessment form from the hotel, signed by the General Manager (GM) and Director of Finance (DOF). This waiver will then be reviewed by the relevant approving party, and, if granted, a copy must be retained by the hotel Finance Team together with the Provider contract for subsequent review by Internal Audit.

Risk Self-Assessment

This document (see Appendix 2) entitles Users to claim a waiver or reduction of insurance provided they have met all the requirements in the Checklist. It must be completed by the User and approved first by the GM or DOF before being sent for review and approval and then by the secondary approver in accordance with the Approval Matrix below to warrant that all necessary steps of the Test have been thoroughly investigated and that they wish to proceed with the Provider in question.

Approval Matrix

Risk Level	First Approval	Second Approval
Low Risk	GM or DOF	Area VP (Americas) or VP Operations (Europe, Middle East & Africa and Asia Pacific regions) or Regional Director Operations Finance
Moderate Risk	GM or DOF	Area VP (Americas) or VP Operations (Europe, Middle East & Africa and Asia Pacific regions) or Regional Director Operations Finance
High Risk	GM or DOF	Risk Management Compliance Manager via contracts.risk@hilton.com

C. Managing
COIs and
insurance
needs

When a Provider / tenant agrees to the insurance requirements and provides evidence of their coverage via the Certificates of Insurance (COIs), the hotel must verify that insurance coverage matches the agreement terms and conditions. After contract execution, the onus is on the User to monitor the goods and/or services to ensure compliance with the agreement and make sure that the certificate is current and compliant with the agreed limits throughout the term of the agreement. Failure to do so could result in financial losses or higher premiums as a result of a hotel's own insurance responding in the absence of Provider insurance.

Certificates of Insurance Management & Retention

Users responsible for contracting and gathering COIs must ensure the following information is contained on certificates:

- Where applicable, the certificate holder must be listed as the hotel management legal entity
- Unless otherwise agreed or where not permitted by law, "Additional Insured" status is granted on the certificate for the hotel owner, HWI and its parent, subsidiaries, affiliates, employees, directors and agents. If a Provider challenges this requirement they must be referred to Risk Management for approval.
- The insurance must be valid and the start and end dates must cover the term of the agreement.

All COIs and/or approved Risk Self-Assessments shall be stored securely onsite by the Director of Finance / Controller, along with a copy of the contract it relates to in line with CO-10 (corporate and owned / managed record retention policy) and FP OPSFIN-131 (contracts) (*see policies & procedures*). Users are responsible for ensuring that evidence of approvals at all levels is present in the contract file that is maintained at the hotel.

Monitoring and Renewal of COI

Users must ensure COIs are current and in line with the terms of the agreement they relate to. If the insurance is set to expire before the service is concluded, the User must ensure that the Provider has submitted a new COI adhering to the same agreed terms as with the previous certificate before the current one expires. The hotel should be in possession of a valid COI at all times.

If the goods or services should change, either during the term or at the renewal stage, this may have an impact on the insurance requirement. In this event, the User should consult the Checklist and Risk Management if necessary.

Limitation of Liability

Wherever possible, Users should resist the insertion of a limitation of liability clause which limits the Provider's liability when settling a claim. Where this is not possible the User must insert the standard language approved by Legal, and not limit a Provider's liability to less than the minimum required insurance per the Checklist. If Provider still insists on altering the standard language or using their own language, User must refer the request to the regional Legal Department for review.

Indemnification

Wherever there is a written agreement, every Provider must agree to HWI indemnification language as per the standard form agreements provided by the Legal Department or provide both Hotel and HWI with a full indemnification as otherwise agreed between the parties. This indemnification is not dependent upon any insurance and must always be present in any arrangement between Hotel and Provider unless otherwise agreed with Legal and Risk Management.



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The Service Agreement

All Users must update the editable fields of the insurance exhibit which will be attached to the standard form agreement provided by the Legal Department. Advice, forms and negotiated agreements may be found on the Legal page of The Lobby or by contacting your Legal Lead. Questions relating to insurance levels and requirements may be referred to Risk Management.

Management of Threshold limits

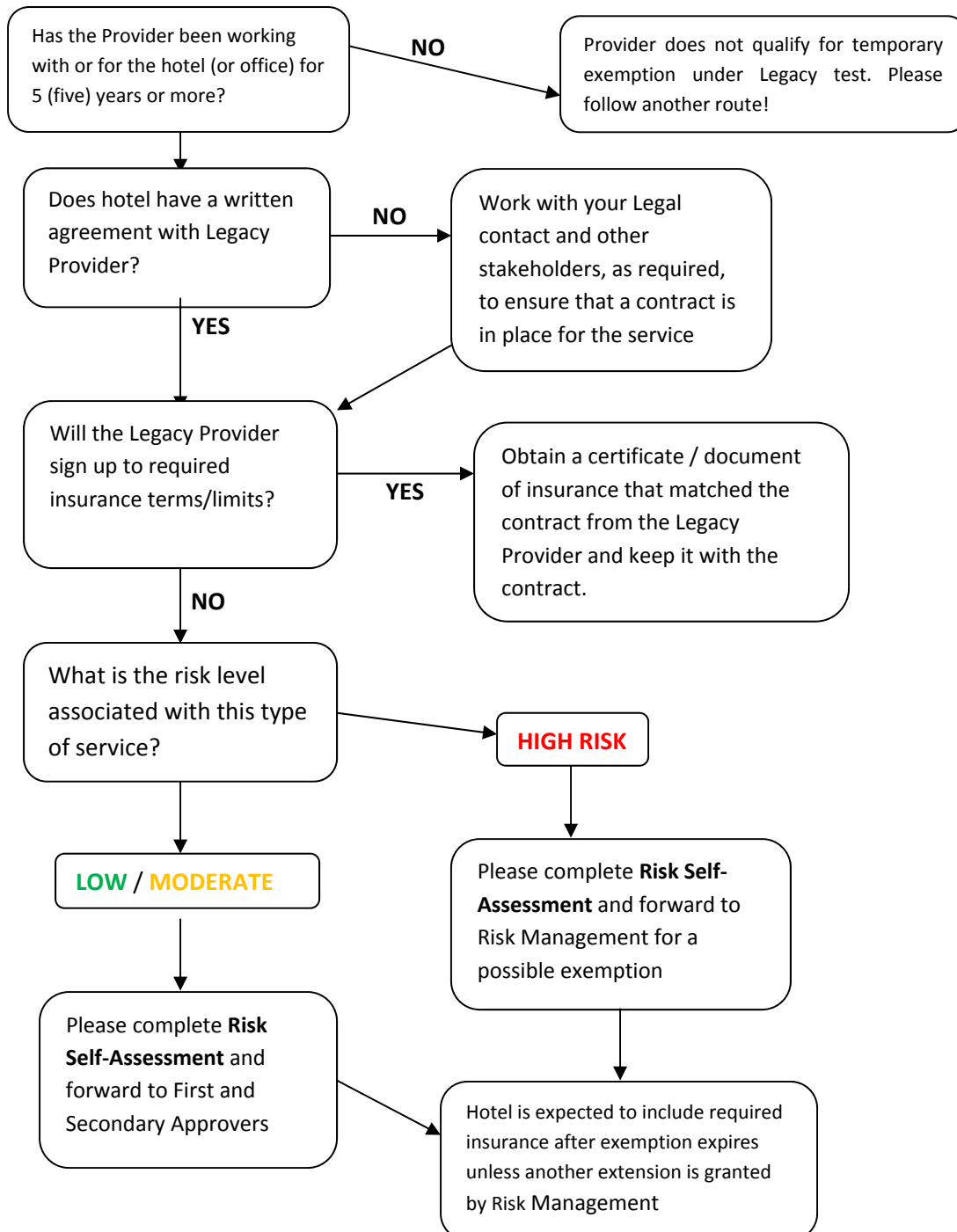
Risk Management will work with its insurance brokers and other resources globally to ensure that the information contained in the Checklist is accurate and applicable. Risk Management will update the Checklist periodically and upload the updates accordingly via the Risk Management page on The Lobby. Users should refer to this page for the most up-to-date version of the Checklist. Risk Management may also directly communicate amendments and additions to hotels. For any Providers that are not on the Checklist, please refer directly to contracts.risk@hilton.com for further guidance.

PROCESS FLOWS & DIAGRAMS

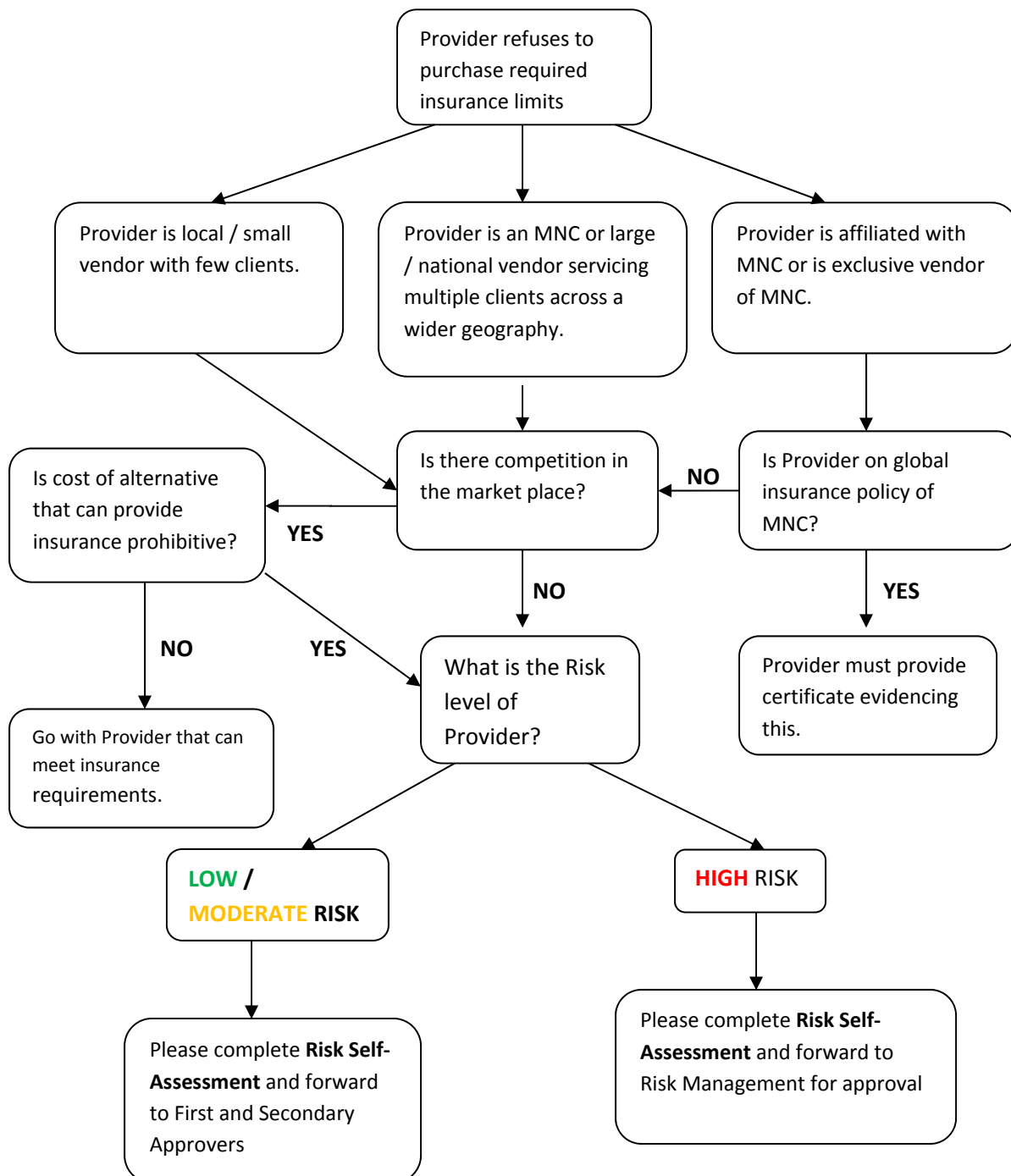
PROVIDER INSURANCE TEST

PROCESS FLOWS

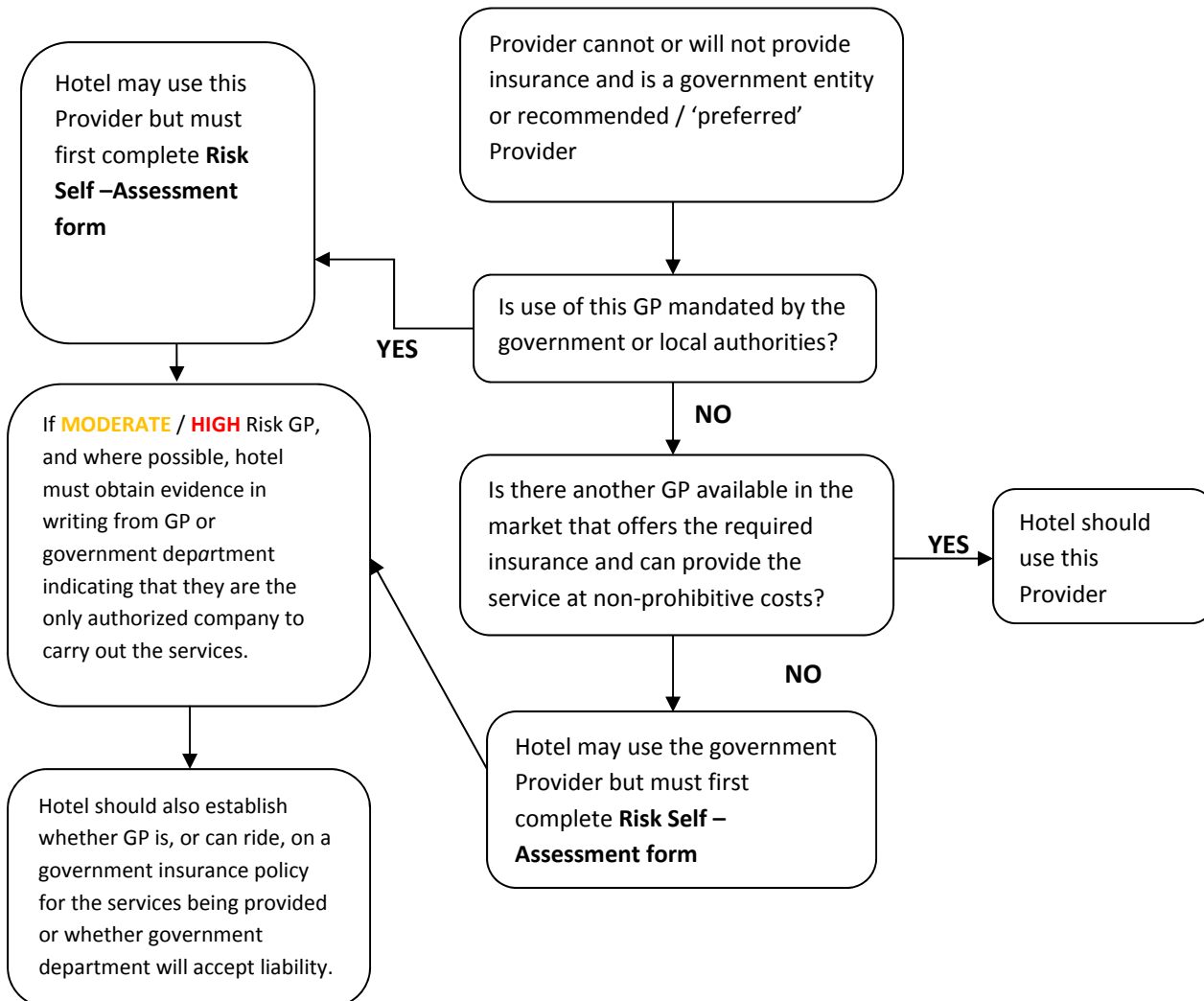
Legacy Providers



Multinational Corporations (MNC) and National/Regional Providers



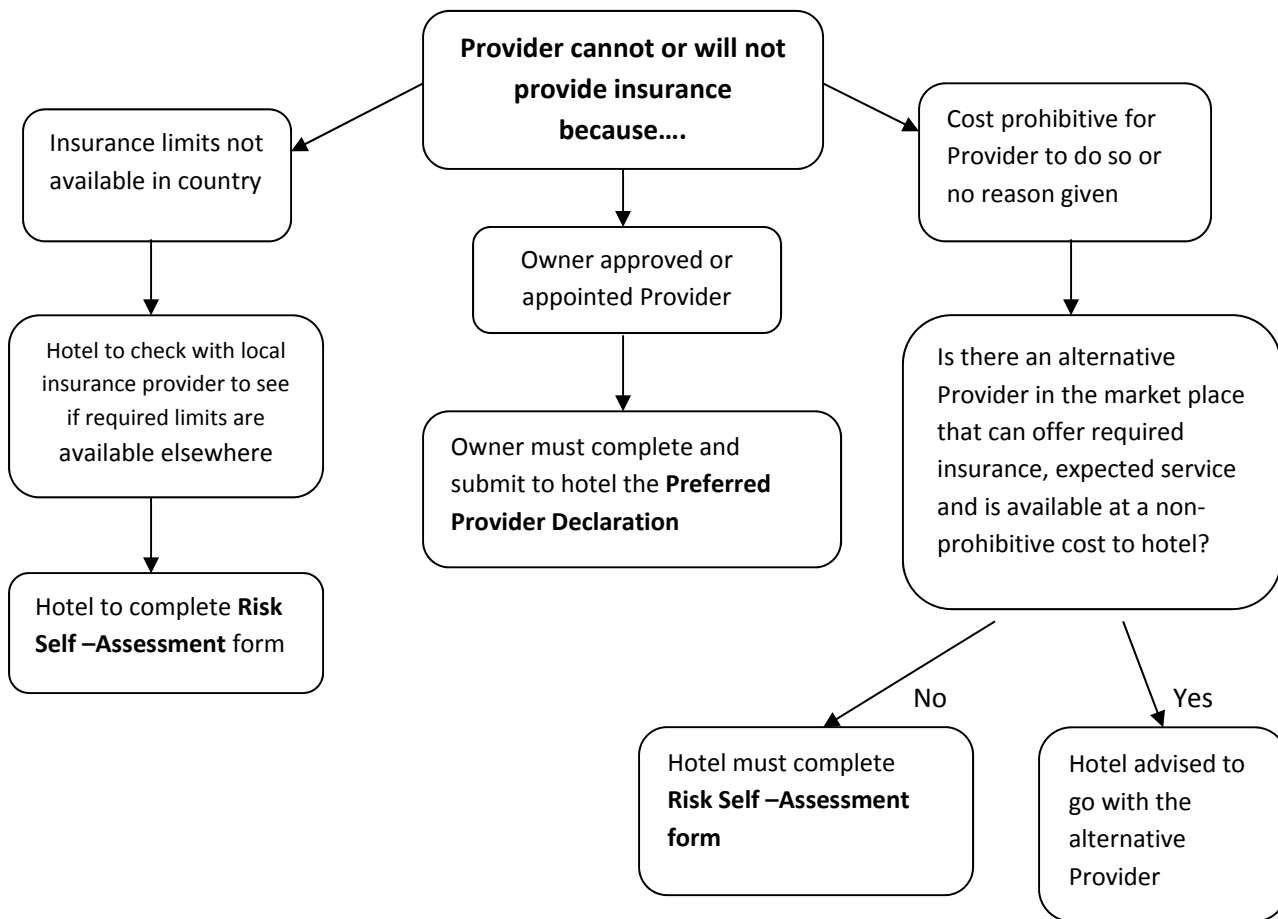
Government Providers (GP)



NOTE: If this is an essential service and Hotel has no choice but to use this Provider, hotel must understand the risks that are taken on. In the event of a claim it may well need to be settled by hotel's insurance, which in turn may raise insurance premiums.

Hotel must ensure, wherever possible, that the corresponding agreement with the Provider has them indemnifying hotel and Hilton Worldwide Inc. as per our standard language. In addition, the hotel must take any necessary precautions to minimize the chances of a claim, injury or damages.

Other Reasons for Non-Compliance with Insurance Request





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DEFINITIONS

Term / Acronym	Definition
Low Risk (L)	Goods / Service types that are generally considered to carry nominal levels of risk of injury to an individual or multiple persons and/or non-extensive damage to property, but may have a higher
Moderate Risk (M)	Goods / Service types that are considered to carry moderate levels of risk of injury to individual or multiple persons and/or non-extensive damage to property and/or potentially cause a business interruption.
High Risk (H)	Goods / Service types that are considered to carry significant levels of risk of injury to multiple persons and/or extensive damage to property and/or cause a business interruption.
MNC	Multinational Corporation: A <i>corporation</i> that has its facilities and other assets in at least one country other than its home country.
User	A General Manager, Director of Finance/controller or other employee at hotel who is responsible for negotiating a contract or applying this policy to a Service Agreement.
Provider	Any person or company that provides goods and/or services to/for a hotel for payment, barter or trade.
Sponsor	An entity that invests in and organizes events and functions in connection with a hotel and/or Company either on premises or offsite where there is a potential risk of direct or indirect damages (i.e. to property or brand name, etc.) or personal/bodily injury.
Partner	An entity that engages with a hotel or Company to collaborate towards a common strategic or commercial goal.



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RELATED DOCUMENTS, TOOLS AND TEMPLATES

Policies & Procedures	Location
FP OPSFIN-131 Contracts	https://ongteamsites.hilton.com/sites/Company%20PoliciesandProcedures/Shared%20Documents/Contracts.pdf
FP-OPSFIN-130 Tenant Lease Concessionaires	https://ongteamsites.hilton.com/sites/Company%20PoliciesandProcedures/Shared%20Documents/Tenant%20Lease%20Concessionaires.pdf
FP-OPSFIN-154 Hotel Operations Contract Execution and Spending Policy	https://ongteamsites.hilton.com/sites/GlobalPolicyCommittee/Editable%20Policies%20Library%20WORD/Hotel%20Operations%20Contract%20Execution%20and%20Spending%20Policy.docx
CO-10 Corporate & Owned/Managed Hotels Record Retention Policy	https://ongteamsites.hilton.com/sites/Company%20PoliciesandProcedures/Shared%20Documents/CO-10%20Corporate%20and%20Owned%20-%20Managed%20Hotels%20Record%20Retention%20Policy%20-%20May%202009%20-%20HHC.pdf
Global Provider Insurance Policy Checklist and Related Forms	These will be available on the Risk Management page on The Lobby at https://lobby.hilton.com/_layouts/15/Hilton/Pages/CMSHost.aspx?urlTo=https://cms.hilton.com/Departments/RiskMgmt/default.htm . For further details please contact contracts.risk@hilton.com



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APPENDICES

APPENDIX 1

OWNER PREFERRED PROVIDER

DECLARATION

[Add Company/Owner Name] ("Owner") does hereby declare that [Add Provider Name] ("Provider") is the preferred, approved or appointed Provider of Owner to provide professional services to [Add Hotel Name] ("Hotel") as contractually agreed between Hotel and Provider from time to time.

The following to be added for non-US hotels only: Owner acknowledges, understands and agrees that Owner will provide, or arrange to have provided, in accordance with Brand Standards and Owner's hotel Management Agreement, and for a limit commensurate with Hilton Worldwide Inc., accepted standards in [Add Country], third party liability, including professional liability and property insurance, insuring the Provider for the work being done. Hotel, Hilton Worldwide Inc., ("HWI") and Affiliates and their respective officers, directors, agents, contractors, employees will be listed as additional insured parties on the foregoing insurance policies.

Owner further acknowledges, understands and agrees that Owner's insurance shall apply and respond as primary to any other insurance or self-insurance available to Hotel if the Provider's insurance proves insufficient or unrecoverable in the event of any and all allegations, demands, claims, liabilities, damages, or costs of any kind (including reasonable attorneys' fees), whether or not occurring during the Term ("**Claims**"), arising out of or in any way connected with (a) Provider's breach of the Services Agreement, (b) Provider's negligence or willful misconduct, or (c) Provider's actual or alleged infringement of the rights of any person, including without limitation, copyright, patent, trade secret, trademark, privacy, publicity or other intellectual property laws.

Signed on behalf of Owner

Signed on behalf of Hotel/HWI

Name in Print: _____

Name in Print: _____

Position Held with Owner: _____

Position Held with Hotel/HWI: _____

Date: _____

Date: _____



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APPENDIX 2

RISK SELF-ASSESSMENT & INSURANCE CHECKLIST

Hotel Brand: _____ Hotel Location/Facility ID: _____

Provider Name: _____

Provider Type: _____ Date: _____

Description of Services to be expected of Provider: _____ Length of Contract: _____

Checklist Risk Level: Low / Moderate / High

Insurance Reduction

Please state insurance type and new limit requested:

(TICK ALL OF THE BOXES THAT APPLY)

- ☐ ***The Provider is a subsidiary, affiliate or agent of a larger company or multinational corporation ("partner")***
- ☐ Hotel has made reasonable enquiries of Provider and/or their partner and determined that they are not covered on partner's insurance policy
- ☐ Provider is the only party equipped to carry out the service
- ☐ ***There is no other Provider in the market place that is offering the necessary insurance terms and providing the level of service expected by the business at commercially reasonable rates.***
- ☐ ***Provider is appointed, recommended by, or preferred vendor of a Government Department***
- ☐ Hotel is mandated by local/national authorities or otherwise obligated to use Provider
- ☐ Government Department does not insure the Provider
- ☐ ***The Provider is a Legacy Provider and the Hotel wants to continue to do business under existing terms***
- ☐ The Provider has been working with the hotel for 5 years or longer;



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- ☐ ***There is no insurance available locally and they are not permitted to purchase insurance from abroad***
☐ Hotel had checked with local insurance provider to ascertain whether insurance is available to Provider.
- ☐ ***The Provider is appointed or requested by the hotel owner in the knowledge that they fail to meet insurance requirements***
☐ Hotel owner has signed the Owner Preferred Provider Declaration
- ☐ ***The insurance is cost prohibitive for the Provider***
☐ Hotel has researched and found that there is no alternative provider that meets all necessary requirements (adequate service/reasonable cost/ minimum insurance)
- ☐ ***Hotel wants to work with Provider who is underinsured for reasons other than those listed above***

Please State Reason: _____

- ☐ Hotel understands and acknowledges the risks associated with this type of Provider and the type of arrangement;
- ☐ Hotel understands and acknowledges the potential consequences if a Provider cannot settle a claim or pay for damages due to lack of insurance or capital;
- ☐ Hotel wants to continue with the arrangement notwithstanding the above
- ☐ Hotel agrees to use Hilton Worldwide approved indemnification language in the agreement with the Provider and that the agreement will NOT contain a limitation of liability clause in favor of the Provider.

GENERAL MANAGER /

SECOND LEVEL APPROVER (RDOF/VP Ops/Risk)

DIRECTOR OF FINANCE: _____

TITLE: _____

SIGNATURE: _____

NAME: _____

SIGNATURE: _____